
23.5 ROUTES OF FDI

In this section, we discuss the various routes through which FDI arrives in the host country concerning the Indian Economy. FDI offers lots of opportunities and contributes significantly to the economic development of the country. Keeping this in mind, the Indian government has been taking steps to promote foreign investment in India like relaxation in regulatory compliances, streamlining the complexities involved in the investment procedures etc. The FDI policy specifies the regulations governing the FDI, the areas where the FDI is allowed, the areas where the FDI is restricted, routes of FDI etc. FDI can be made through Automatic Routes and Government Routes.

Automatic Route

FDI through Automatic Route does not require investors to seek approval from the Government of India for the investment. Foreign investment in sectors like agriculture and animal husbandry, plantation, mining, petroleum and natural gas, airports, construction, manufacturing, industrial parks, e-commerce activities, railway infrastructure, asset construction companies, credit information companies, and pharmaceuticals are allowed under the automatic route.

Government Route

FDI through the Government Route requires investors to seek prior approval from the Government of India. Proposals for foreign investment under the Government Route are considered by the respective Administrative Ministry/Department. Foreign investment in sectors like mining, defence, broadcasting, print media/digital media, civil aviation, satellites, telecommunications, and private security agencies are the areas where prior approval from the Indian government is required and regulations and procedures as prescribed under FEMA (defined hereinafter) and by RBI must be followed.

However, there are certain areas where FDI is strictly prohibited under any of the above-mentioned routes due to reasons like national security, protection of the nation's interest etc. These areas include the lottery business, gambling, and betting, chit funds, Hundis and Nidhi companies, trading in transferable development rights, real estate business, manufacturing of cigars, cheroots, cigarillos and cigarettes, of tobacco or tobacco substitutes. The sectors that are not open to private sector investment include atomic energy and railway operations.

23.6 ADVANTAGES AND DISADVANTAGES OF FDI

FDI offers several benefits. These are:

- 1) **Contribution to Economic Growth:** FDI contributes significantly to the economic growth of the host country by injecting capital into various sectors that lead to increased production, consumption, and overall economic activity.
- 2) **Jobs creation:** FDI creates new jobs in the host country as foreign companies establish or expand their operations, hiring local workers and professionals.
- 3) **Bringing Technology:** Foreign investors bring advanced technology, expertise, and management practices that increase the productivity and competitiveness of the local industries.
- 4) **Increase in exports:** This leads to an increase in exports from the host country as foreign companies may use local resources and labour to produce goods and services for global markets.
- 5) **Infrastructure development:** To attract foreign investments in the country, host countries develop their infrastructure by investing in transportation, energy, and telecommunications. Such development in infrastructure benefits the entire economy.
- 6) **Setting up of new industries:** FDI helps in diversifying the host country's economy by setting up new industries and developing new sectors.
- 7) **Access to new markets:** Local firms can benefit from foreign investors' global networks, gaining access to new markets and distribution channels.
- 8) **Increased government revenue:** FDI also results in enhancing government revenue by way of taxes.

Disadvantages of FDI:

The following are certain disadvantages of FDI:

- 1) FDI may result in a loss of control over their domestic industries which can also affect the ability to make independent decisions.
- 2) Due to the policies of foreign investors, a country may become vulnerable to economic fluctuations leading to economic instability.
- 3) Foreign investors often take profits back to their home countries, reducing the amount of money reinvested in the host country's economy.
- 4) FDI even results in environmental degradation as foreign investors may prioritize profit over environmental sustainability.
- 5) Host countries may face challenges in protecting their intellectual property rights when collaborating with foreign investors, potentially leading to knowledge and technology leakage.

- 6) Increased FDI may sometimes intensify competition for local resources, potentially driving up costs and pricing local businesses out of the market.

23.7 HIGHLIGHTS OF FDI POLICY 2020

FDI is regulated primarily by the Department of Promotion of Industry and International Trade (DPIIT), under the Government of India. The latest policy released by DPIIT is the Consolidated Foreign Direct Investment (FDI) Policy of 2020, effective from October 15, 2020. Major highlights of this policy are discussed in this section. The FDI policy of a country is revised as per the changing needs and economic environment of the country. Some of the highlights of FDI policy 2020 are:

1) List of Eligible investors:

Non-resident entities can invest in India under the FDI Policy, with certain sectors/activities prohibited. NRIs residing in Nepal and Bhutan, as well as citizens of these countries, can invest in Indian companies on a repatriation basis. Overseas Corporate Bodies (OCBs) not under RBI scrutiny can invest as non-resident entities under the FDI Policy and Foreign Exchange Management (Non-Debt Instrument) Rules, 2019. Companies, trusts, and partnership firms incorporated abroad and controlled by NRIs can invest in India under special dispensation. Foreign Portfolio Investors (FPIs) and Foreign Venture Capital Investors (FVCIs) are also permitted to make investments, with registered FPIs and NRIs able to trade through recognized Indian Stock Exchanges via registered brokers.

2) Eligible Investee Entities:

It includes Indian companies authorized to issue capital for FDI. NRIs can invest in partnership firms or proprietary concerns on a non-repatriation basis, using inward remittances or funds from specified accounts, provided the businesses are not in agriculture, plantation, real estate, or print media. Trusts cannot receive foreign investments except for SEBI-regulated VCFs. LLPs can receive foreign investment under the automatic route, allowing downstream investments and conversion into companies where permitted. Investment vehicles and startups can also attract foreign investments under specific guidelines outlined in the Foreign Exchange Management Rules, 2019.

3) Entry Routes for Investment:

Non-residents can invest in Indian companies' equity shares, convertible debentures, or preference shares through either the Automatic Route or the Government Route.

Prohibited sectors for FDI include:

- Lottery business (government/private, online, etc.)
- Gambling and betting activities, including casinos
- Chit funds
- Nidhi companies
- Trading in Transferable Development Rights (TDRs)
- Real estate business or construction of farmhouses (excluding specific exceptions)
- Manufacturing of cigars, cheroots, tobacco etc.
- Certain activities/sectors closed to private sector investment include Atomic Energy and railway operations, except for specific permitted activities. Additionally, foreign technology collaboration in any form, such as licensing for franchises, trademarks, brand names, or management contracts, is prohibited for lottery business, gambling, and betting activities.

Percentage of FDI Allowed in Major Sectors:

- Agriculture & Animal Husbandry: 100% (through automatic route)
- Plantation Sector: 100% (through automatic route)
- Mining: 100% (through automatic route)
- Mining and mineral separation of titanium: 100% (through government route)
- Petroleum & Natural Gas: 100% (through automatic route)
- Petroleum refining by the Public Sector Undertakings (PSU): 49% (through automatic route)
- Defence Manufacturing: 100% (Automatic up to 49% Above 49% under Government route in cases resulting in access to modern technology in the country)
- E-commerce activities: 100% (through automatic route)
- Multi Brand Retail Trading: 51% (through government route)
- Insurance: 49% (through automatic route)
- Banking- Private Sector: 74% (Automatic up to 49% above 49% & up to 74% under Government route)

- Banking- Public Sector: 20% (through government route)
- Food products manufactured or produced in India: 100% (through government route).

For more details on FDI Policy, 2020 refer https://dpiit.gov.in/sites/default/files/FDI-PolicyCircular-2020-29October2020_0.pdf.

Check Your Progress 2

- 1) Elaborate on the different pathways (routes) for Foreign Direct Investment (FDI).

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- 2) Discuss the various benefits of FDI.

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- 3) What are the disadvantages of FDI?

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23.8 CONCEPT OF FOREIGN PORTFOLIO INVESTMENT (FPI)

In the Indian context, FPI has been defined as “Foreign portfolio investment” means any investment made by a person resident outside India through equity instruments where such investment is less than 10% of the post-issue paid-up share capital on a fully diluted basis of a listed Indian company or less than 10% of the paid-up value of each series of an equity instrument of a listed Indian company *Rule 2(t) of FEM (Non-debt Instruments) Rules, 2019 and para 2.1.20 of FDI Policy dated 15-10-2020.*

Foreign Portfolio Investment refers to investments made by foreign individuals, institutions, or funds into financial assets in another country like stocks, bonds, or other securities.

Securities and Exchange Board of India is the regulatory body that regulates FPI in India. The National Securities Depository Limited (NSDL) maintains a list of all the registered FPIs in India and this list of registered FPIs is publicly available on their website.

23.9 DIFFERENCE BETWEEN FDI AND FPI

FDI and FPI refer to investments that involve investing in foreign countries. Foreign Direct Investment refers to investments that require a long-term commitment that leads to the establishment of business interest in the foreign country whereas FPI refers to investments that are short-term in nature and that are intended to diversify investment portfolios. Such investments also allow the investors to take part in the growth of foreign economies. The key differences between FDI and FPI are:

- In FDI a direct business interest is established overseas whereas FPI is not a direct investment.
- An FDI leads to the sharing of resources, transfer of technology know-how, and funds and involves a joint venture or setting up of a subsidiary. IN FPI no such transfer of knowledge and technology takes place.
- Foreign direct investment is for a longer duration than foreign portfolio investment. FDI may include establishing a manufacturing unit, acquiring a company, or entering into a joint venture. FPI is a short-term form of investment and is done to diversify investment portfolios and take benefit of short-term market opportunities.
- FDI is made by institutions or venture capital companies whereas FPI simply involves investing in securities or assets outside the country.
- FPI is highly liquid and can be purchased and sold easily. Whereas FDI is not that liquid as it is a long-term investment.
- FPI involves passive investors, and FDI is all about active investors.
- In FDI, the investor enjoys a say in the decision-making and actively participates in the operations and administration of the company. However, in the case of FPI, the investor does not have any say in the management of the company.
- The risk in FDI is higher than in FPI. FDI is subject to various risks that relate to the political situation, economic conditions regulatory provisions and structure risks in the host country. Whereas FPI is subject to the risk that is associated with market volatility and is highly affected by fluctuations and changes in the currency, interest rates, etc.

23.10 CATEGORIES OF FPI

FPI is typically categorized under three categories as explained under:

- Category I: This category is regarded as a low-risk category. It comprises government/government-related establishments like central banks and international agencies like the World Bank, and IMF. For example, a sovereign wealth fund is a Category I FPI.
- Category II: This category involves a medium degree of risk. This category comprises mutual funds, insurance firms, asset management companies, banks, and pension funds.
- Category III: This category is the riskiest among all. It includes all other forms of investments that do not fall into Category I and Category II
Example: Private equity funds.

Check Your Progress 3

- 1) What do you understand by FPI?

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- 2) Differentiate between Foreign Direct Investments and Foreign Portfolio Investments.

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- 3) Describe the various categories of Foreign Portfolio Investment.

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23.11 ADVANTAGES AND DISADVANTAGES OF FPI

The following are the advantages offered by FPI:

- 1) Foreign portfolio investments stimulate demand for companies' stocks, facilitating the raising of capital in a cost-effective manner.
- 2) It offers greater diversification to investors which lead to extending potential benefits from this broader investment base.

- 3) Investors can also benefit from fluctuations in exchange rates.
- 4) Overseas markets offer investors access to larger markets that may sometimes have less competition compared to their local market. This implies they can enjoy reduced competition in foreign countries.
- 5) FPI also offers liquidity ensuring that investors have the agility to capitalize swiftly on favourable opportunities.
- 6) FPI can boost stock market performance by increasing demand for shares of Indian companies. This, in turn, can benefit both companies and individual investors.
- 7) FPI brings foreign capital into the Indian financial markets that can be used for various purposes like infrastructure development, job creation, and economic growth.

Disadvantages of FPI

The various disadvantages associated with Foreign Portfolio Investment (FPI) are:

- 1) Large inflows and outflows of foreign capital in the form of FPI can destabilize financial markets and exchange rates. In times of uncertainty like economic slowdown, foreign investors withdraw their investments which may lead to capital flight.
- 2) It may sometimes lead to speculative behaviour in financial markets, as short-term investors seek quick profits. Such speculation can create market bubbles and lead to market volatility.
- 3) FPI exposes a country's currency to exchange rate fluctuations which may result in risks for both investors and the country's economy.
- 4) Foreign investors in FPI typically do not have a long-term commitment to the country and therefore such foreign investors may not align with the country's long-term economic goals.
- 5) FPI can encourage herd behaviour among investors which may lead to a cascading effect that can cause market panics.
- 6) FPI prioritizes short-term profits over the long-term interests of local businesses. This results in creating pressure on companies to focus on quarterly results at the expense of long-term growth and sustainability.
- 7) FPI also attracts manipulative activities by foreign investors who exploit regulatory gaps or engage in unethical trading practices.
- 8) Managing and regulating FPI flows can be challenging for governments, requiring strong oversight and regulatory frameworks to prevent abuses and maintain financial stability.